CLOSING STATEMENT

Cypress Technology Campus | Kansas City, MO

Property	Cypress Technology Campus
Settlement Date	March 30, 2021
Buyer	Keel & Compass Properties
Seller	Pemberton Real Estate Fund III
Sale Price	$355,950,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$355,950,000			
Earnest money deposit		$2,407,948	$2,407,948	
Real estate tax proration	$2,297,363			$2,297,363
Rent proration			$3,034,944	
Security deposits assumed	$479,820	$479,820		
Prepaid rents			$215,078	$215,078
Owner's title policy premium	$2,229,195			
Lender's title policy premium		$2,467,475	$2,467,475	
Escrow fee	$3,176,327			$3,176,327
Recording fees			$2,449,677	
Transfer tax	$2,523,039	$2,523,039		
Survey			$694,312	$694,312
Legal fees - Buyer	$810,335			
Legal fees - Seller		$721,948	$721,948	
Broker commission	$3,455,242			$3,455,242
Loan origination fee			$2,565,352	
Lender legal	$2,622,886	$2,622,886		
Appraisal fee			$1,924,242	$1,924,242
Environmental report	$2,993,174			
Property condition report		$3,406,135	$3,406,135	
Tax escrow deposit	$653,543			$653,543
Insurance escrow deposit			$1,738,365	

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$355,950,000			
Legal fees - Seller		$1,849,853	$1,849,853	
Broker commission	$1,643,008			$1,643,008
Loan origination fee			$610,346	
Lender legal	$572,258	$572,258		
Appraisal fee			$2,870,789	$2,870,789
Environmental report	$2,761,063			
Property condition report		$3,074,384	$3,074,384	
Tax escrow deposit	$2,252,118			$2,252,118
Insurance escrow deposit			$531,505	
Replacement reserve deposit	$3,064,831	$3,064,831		
Utility deposits			$2,875,817	$2,875,817
Assumed vendor contracts credit	$2,998,124			
Tenant improvement credit		$3,318,672	$3,318,672	
Courier / wire fees	$2,603,865			$2,603,865
Municipal certificates			$1,973,722	
Purchase price	$1,198,199	$1,198,199		
Earnest money deposit			$3,516,318	$3,516,318
Real estate tax proration	$1,757,242			
Rent proration		$2,102,477	$2,102,477	
Security deposits assumed	$1,207,968			$1,207,968
Prepaid rents			$2,911,456	
Owner's title policy premium	$2,445,306	$2,445,306		
Lender's title policy premium			$1,268,546	$1,268,546
Escrow fee	$2,535,639			
Recording fees		$2,968,560	$2,968,560	
Transfer tax	$729,133			$729,133
Survey			$1,575,475	

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Operating Performance

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Effective gross income for the trailing period was $197,000, representing a 11.1% increase over the prior year.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Carrier-neutral meet-me room supports multiple fiber providers. Effective gross income for the trailing period was $41,000, representing a 8.6% increase over the prior year. The going-in capitalization rate of 6.85% reflects the in-place income and the stabilized occupancy assumption.

Income and Expense Review

The facility is a purpose-built data center with 7 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Operating expenses totaled $76,000 or approximately 19.56 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $153,000, representing a 13.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $232,000 or approximately 32.46 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. Effective gross income for the trailing period was $345,000, representing a 10.6% increase over the prior year.

Operating Performance

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Debt service coverage ratio was 7.75x on a trailing basis against a covenant minimum of 1.20x. The facility is a purpose-built data center with 43 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Effective gross income for the trailing period was $23,000, representing a 11.3% increase over the prior year. The going-in capitalization rate of 5.91% reflects the in-place income and the stabilized occupancy assumption.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The going-in capitalization rate of 7.98% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 8.02x on a trailing basis against a covenant minimum of 1.20x. Carrier-neutral meet-me room supports multiple fiber providers.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$355,950,000			
Tenant improvement credit		$3,435,334	$3,435,334	
Courier / wire fees	$3,338,495			$3,338,495
Municipal certificates			$1,942,787	
Purchase price	$2,042,687	$2,042,687		
Earnest money deposit			$2,697,095	$2,697,095
Real estate tax proration	$3,036,063			
Rent proration		$3,515,495	$3,515,495	
Security deposits assumed	$1,571,008			$1,571,008
Prepaid rents			$1,586,070	
Owner's title policy premium	$876,054	$876,054		
Lender's title policy premium			$2,931,682	$2,931,682
Escrow fee	$1,014,466			
Recording fees		$1,841,565	$1,841,565	
Transfer tax	$2,243,285			$2,243,285
Survey			$1,210,822	
Legal fees - Buyer	$1,655,335	$1,655,335		
Legal fees - Seller			$578,203	$578,203
Broker commission	$135,501			
Loan origination fee		$452,403	$452,403	
Lender legal	$2,377,855			$2,377,855
Appraisal fee			$349,187	
Environmental report	$3,163,036	$3,163,036		
Property condition report			$1,389,961	$1,389,961
Tax escrow deposit	$2,306,590			
Insurance escrow deposit		$1,776,565	$1,776,565	
Replacement reserve deposit	$1,511,748			$1,511,748
Utility deposits			$2,730,282	

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Financial Analysis

Operating expenses totaled $190,000 or approximately 14.05 per square foot, with real estate taxes representing the largest line item. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Debt service coverage ratio was 6.29x on a trailing basis against a covenant minimum of 1.20x. Carrier-neutral meet-me room supports multiple fiber providers.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $259,000 or approximately 42.66 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $123,000, representing a 9.9% increase over the prior year.

Income and Expense Review

Carrier-neutral meet-me room supports multiple fiber providers. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $162,000, representing a 12.6% increase over the prior year. The facility is a purpose-built data center with 2 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.14% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.10% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $319,000 or approximately 25.46 per square foot, with real estate taxes representing the largest line item. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Debt service coverage ratio was 5.57x on a trailing basis against a covenant minimum of 1.20x.

Carrier-neutral meet-me room supports multiple fiber providers. Effective gross income for the trailing period was $311,000, representing a 10.5% increase over the prior year. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$355,950,000			
Recording fees		$1,764,426	$1,764,426	
Transfer tax	$2,443,670			$2,443,670
Survey			$2,460,652	
Legal fees - Buyer	$762,357	$762,357		
Legal fees - Seller			$2,050,126	$2,050,126
Broker commission	$2,656,739			
Loan origination fee		$1,603,919	$1,603,919	
Lender legal	$2,978,829			$2,978,829
Appraisal fee			$2,096,789	
Environmental report	$1,055,895	$1,055,895		
Property condition report			$1,153,567	$1,153,567
Tax escrow deposit	$2,273,200			
Insurance escrow deposit		$2,406,731	$2,406,731	
Replacement reserve deposit	$3,438,283			$3,438,283
Utility deposits			$2,862,606	
Assumed vendor contracts credit	$214,647	$214,647		
Tenant improvement credit			$2,975,341	$2,975,341
Courier / wire fees	$1,067,434			
Municipal certificates		$904,167	$904,167	
Purchase price	$2,457,579			$2,457,579
Earnest money deposit			$598,376	
Real estate tax proration	$2,579,393	$2,579,393		
Rent proration			$236,101	$236,101
Security deposits assumed	$749,047			
Prepaid rents		$732,474	$732,474	
Owner's title policy premium	$3,206,229			$3,206,229
Lender's title policy premium			$1,376,624	

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Valuation Discussion

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Effective gross income for the trailing period was $196,000, representing a 11.6% increase over the prior year.

Operating expenses totaled $440,000 or approximately 32.17 per square foot, with real estate taxes representing the largest line item. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 40 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.62% reflects the in-place income and the stabilized occupancy assumption.

Valuation Discussion

The going-in capitalization rate of 6.50% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Operating expenses totaled $367,000 or approximately 15.66 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $164,000, representing a 11.8% increase over the prior year.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 22 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The going-in capitalization rate of 7.68% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $266,000 or approximately 17.26 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period.

Operating Performance

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.93% reflects the in-place income and the stabilized occupancy assumption. Carrier-neutral meet-me room supports multiple fiber providers.

Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. Carrier-neutral meet-me room supports multiple fiber providers. Debt service coverage ratio was 5.22x on a trailing basis against a covenant minimum of 1.20x. The facility is a purpose-built data center with 39 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$355,950,000			
Insurance escrow deposit		$2,126,544	$2,126,544	
Replacement reserve deposit	$2,952,266			$2,952,266
Utility deposits			$1,508,817	
Assumed vendor contracts credit	$592,790	$592,790		
Tenant improvement credit			$81,337	$81,337
Courier / wire fees	$1,903,035			
Municipal certificates		$840,063	$840,063	
Purchase price	$2,986,780			$2,986,780
Earnest money deposit			$3,110,745	
Real estate tax proration	$1,015,362	$1,015,362		
Rent proration			$1,426,276	$1,426,276
Security deposits assumed	$1,145,284			
Prepaid rents		$288,510	$288,510	
Owner's title policy premium	$240,288			$240,288
Lender's title policy premium			$2,804,972	
Escrow fee	$295,377	$295,377		
Recording fees			$1,294,740	$1,294,740
Transfer tax	$401,105			
Survey		$536,677	$536,677	
Legal fees - Buyer	$2,647,368			$2,647,368
Legal fees - Seller			$2,774,685	
Broker commission	$985,009	$985,009		
Loan origination fee			$1,268,388	$1,268,388
Lender legal	$251,328			
Appraisal fee		$1,195,513	$1,195,513	
Environmental report	$2,744,950			$2,744,950
Property condition report			$211,497	

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Income and Expense Review

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $212,000 or approximately 22.12 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.07% reflects the in-place income and the stabilized occupancy assumption.

Carrier-neutral meet-me room supports multiple fiber providers. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.88% reflects the in-place income and the stabilized occupancy assumption. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Effective gross income for the trailing period was $261,000, representing a 4.3% increase over the prior year. The facility is a purpose-built data center with 20 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Valuation Discussion

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Effective gross income for the trailing period was $254,000, representing a 6.8% increase over the prior year. The facility is a purpose-built data center with 16 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses.

Operating expenses totaled $190,000 or approximately 17.61 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $45,000, representing a 13.8% increase over the prior year. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Income and Expense Review

Operating expenses totaled $185,000 or approximately 45.16 per square foot, with real estate taxes representing the largest line item. Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 7 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Debt service coverage ratio was 5.06x on a trailing basis against a covenant minimum of 1.20x.

The going-in capitalization rate of 7.20% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. The facility is a purpose-built data center with 14 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$355,950,000			
Prepaid rents		$2,094,026	$2,094,026	
Owner's title policy premium	$2,597,036			$2,597,036
Lender's title policy premium			$1,923,213	
Escrow fee	$3,100,708	$3,100,708		
Recording fees			$478,213	$478,213
Transfer tax	$1,081,340			
Survey		$3,369,958	$3,369,958	
Legal fees - Buyer	$449,816			$449,816
Legal fees - Seller			$2,870,181	
Broker commission	$1,061,096	$1,061,096		
Loan origination fee			$2,920,147	$2,920,147
Lender legal	$1,899,892			
Appraisal fee		$3,144,042	$3,144,042	
Environmental report	$2,928,561			$2,928,561
Property condition report			$1,501,054	
Tax escrow deposit	$1,118,971	$1,118,971		
Insurance escrow deposit			$3,500,886	$3,500,886
Replacement reserve deposit	$1,468,152			
Utility deposits		$2,034,937	$2,034,937	
Assumed vendor contracts credit	$3,207,079			$3,207,079
Tenant improvement credit			$2,668,155	
Courier / wire fees	$1,390,686	$1,390,686		
Municipal certificates			$1,653,578	$1,653,578
Purchase price	$2,811,517			
Earnest money deposit		$3,314,927	$3,314,927	
Real estate tax proration	$3,258,852			$3,258,852
Rent proration			$2,619,938	

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Valuation Discussion

The going-in capitalization rate of 6.36% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Carrier-neutral meet-me room supports multiple fiber providers. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Operating expenses totaled $343,000 or approximately 28.81 per square foot, with real estate taxes representing the largest line item. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Debt service coverage ratio was 5.35x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $129,000 or approximately 20.76 per square foot, with real estate taxes representing the largest line item. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Income and Expense Review

Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $213,000 or approximately 12.80 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $151,000, representing a 6.0% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The going-in capitalization rate of 5.22% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Operating expenses totaled $271,000 or approximately 41.70 per square foot, with real estate taxes representing the largest line item.

Financial Analysis

Operating expenses totaled $448,000 or approximately 40.90 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.16% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $130,000, representing a 8.8% increase over the prior year. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Operating expenses totaled $344,000 or approximately 36.04 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.50% reflects the in-place income and the stabilized occupancy assumption. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Lender legal	$355,950,000			
Appraisal fee		$617,611	$617,611	
Environmental report	$3,307,840			$3,307,840
Property condition report			$2,500,457	
Tax escrow deposit	$337,924	$337,924		
Insurance escrow deposit			$2,557,596	$2,557,596
Replacement reserve deposit	$2,746,935			
Utility deposits		$1,174,492	$1,174,492	
Assumed vendor contracts credit	$3,273,389			$3,273,389
Tenant improvement credit			$3,110,248	
Courier / wire fees	$2,739,739	$2,739,739		
Municipal certificates			$2,449,650	$2,449,650
Purchase price	$1,805,524			
Earnest money deposit		$81,472	$81,472	
Real estate tax proration	$1,910,219			$1,910,219
Rent proration			$1,886,512	
Security deposits assumed	$137,823	$137,823		
Prepaid rents			$1,597,944	$1,597,944
Owner's title policy premium	$237,658			
Lender's title policy premium		$2,946,588	$2,946,588	
Escrow fee	$2,846,338			$2,846,338
Recording fees			$236,762	
Transfer tax	$855,021	$855,021		
Survey			$3,483,950	$3,483,950
Legal fees - Buyer	$1,588,766			
Legal fees - Seller		$951,298	$951,298	
Broker commission	$1,922,050			$1,922,050
Loan origination fee			$3,440,139	

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Cypress Technology Campus Owner LLC

By: Julia Vasquez Title: Manager Date: 03/30/2021

_____

Orbit Telecom

By: Aisha Quinn Title: Managing Member Date: 03/30/2021

Exhibit A - Property

Cypress Technology Campus, 3953 Maple Court, Kansas City, MO 95850. Parcel containing approximately 17.54 acres, together with all improvements thereon.

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